

Elo

An engine for reading regulatory data that has already been audited

Working memo · Davi Lucas dos S. B. da Silva · August 2026 · Pilot: Elo Varejo (Brazilian listed retail)

The observation

Every regulated institution is legally required to publish detailed facts about itself, signed by an auditor who carries liability for getting it wrong. That corpus is public, mandated, and structurally unreadable: buried in footnotes, named differently by every filer, dispersed across hundreds of thousands of documents. Nobody joins it.

This matters more now than it ever has. Generating a claim costs nothing in 2026; what is scarce is a claim someone is legally accountable for. Regulators have been compiling exactly that corpus for a century, the technology to read it at scale arrived roughly two years ago, and the incumbents sitting on it — auditors, rating agencies, market data vendors — have not restructured around it.

WHAT IT IS

Elo reads mandated, already-audited disclosure, normalizes inconsistent terminology across filers, and joins it into a comparable index per sector. One engine, remodeled per regulator.

The pilot: inventory shrink in Brazilian listed retail

Listed retailers file inventory-loss provisions with Brazil's securities regulator (CVM) every year, externally audited. No one has put them side by side. Before writing any code, I tested whether the number is actually there and extractable by hand.

Magazine Luiza S.A. (MGLU3) — FY2023, consolidated	R\$ thousand
Gross inventory (merchandise + consumables)	7,676,860
Provision for inventory losses	(179,561)
Net inventory — reconciles exactly to published figure	7,497,299
Provision as % of gross inventory	2.34%

Source: Magazine Luiza S.A., Financial Statements 31/12/2023, Explanatory Note 9 (Inventories), audited by Ernst & Young. Extracted manually and reconciled against the company's own published net inventory line.

That single reconciliation is the whole point. It is the difference between a thesis and a guess, and it cost an afternoon rather than a quarter of engineering.

Why this segment, and why now

- **Scale** — Brazilian retail lost R\$42.1bn to operational shrink in 2025 — losses grew 15.3% while sector revenue grew 6.4%. The problem outpaces the industry carrying it.
- **Wedge** — Household-electronics retail is worst: total losses +278% year over year, unidentified losses +642%. Operators there cannot name where most of the money went.
- **Why nobody has it** — Every existing benchmark requires handing private data to a competitor. Elo requires nobody's permission — the data is already public and already signed.

Source: 9th Abrappe/Protiviti Brazilian Retail Loss Prevention Survey, 2025.

Economics, modeled rather than assumed

A 20,000-scenario Monte Carlo (reproducible, seed 42) across four regulated verticals over 36 months, with every distribution assumption documented and separated from cited market data.

Metric	Result
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LTV/CAC — full-loaded sales cost	8.3x
Payback period — full-loaded	12.7 months
Value anchor: 1pp of provision, one filer	R\$76.8M
Weighted addressable ARR — Brazil only	R\$31.2M

HONEST CEILING

The uncomfortable finding is the useful one. A Brazil-only Elo tops out near R\$31M of addressable ARR — small by venture standards. That is the clearest argument that the asset is the engine and the international IFRS corpus, not Brazilian retail. Better to know it in week three than in year two.

Where defensibility actually lives

Not in data access. Brazil's incumbent financial database already ingests the same raw CVM dataset, and any large vendor could replicate extraction with more resources. The defensible layer is the normalization taxonomy per vertical — deciding, with auditable reasoning, that this footnote in company A means the same thing as that differently-worded footnote in company B — and the go-to-market relationships inside the loss prevention community. Public disclosure proves the method at zero cost to anyone; proprietary depth is what gets earned afterward, by having first told an operator something true about their own market.

Honest state, and the gates before selling

Three weeks old. One filer fully reconciled. No customers, no revenue, not incorporated. Four explicit gates before quoting a price to anyone:

- Five filers extracted with real data — statistical comparison is not defensible at $n=1$.
- The financial-distress case study closed quantitatively: did the index move before the distress did?
- Pricing architecture validated with two operators who have priced data products.
- One commercial conversation converted into stated intent to pay.

Where it goes

Retail is the wedge, not the thesis. The same engine remodels onto insurance, banking and utilities regulators — different buyer, different price, one engine — and then onto any IFRS jurisdiction, which is most of the world. Two adjacent spaces follow directly from the same instinct: cross-checking what companies declare against what orbital imagery independently observes, and treating rule changes as a leading indicator of where the next unread mandated corpus appears.